

Growth in civilian aerospace sector

There are several macro and micro factors, such as India's economic growth, driving growth in India's aerospace industry. An Airbus report projects that India will need around 1290 aircraft over the next 20 years. Safety and maintenance concerns of the government and citizens, which lead to push for domestic firms, liberalisation of civil aviation policies, well-educated and specialised talent pool, ability to leverage IT competitiveness, and development of special economic zones are a few among these.

As a support service to the aviation industry, the maintenance, repair and overhaul (MRO) sector is also growing with aerospace and defence (A&D) industry, and would make India a potential global/regional MRO hub. India's MRO segment is estimated to grow at 10% and reach US\$ 2.6 billion by 2020.

At the moment, airlines send their planes to Singapore, Paris and Dubai for preventive maintenance as OEMs have not yet set up MROs in India. This is because the volume, or the size of the fleet, is not currently justifiable. "Executing MRO operations is difficult, especially with stocking the parts, regulators' approvals, and hiring and maintaining the skilled workers needed for such a very technically-strong business. The moment there exist 600-650 airplanes flying in India, OEMs will definitely set up in India. MRO, when it happens, will definitely be a big one," adds Chris Rao, vice president of UTAS.

Amendments in Industrial Licensing Policy

The Ministry of Defence has come up with major amendments in the industrial licensing policy with a liberalised list of equipment and products that require industrial licensing in defence sector.

Released by the Commerce and Industry Ministry on 26th June, the new list has over 50% of items removed from the previous mandatory licensing policy.

Previously, all defence-related products required licensing. Furthermore, the items listed under dual use—products that have both military and civilian use—created much confusion in the licensing constraints.

The new framework clearly lists four categories of products specifically designed for military application that will require compulsory licensing:

- Tanks and other armoured vehicles
 - Defence aircraft, spacecraft and parts
 - Warships of all kinds
 - Arms and ammunition and allied items of defence equipment, parts and accessories
- Companies that produce items that are not included in the list (such as sub-assemblies, castings, components, night-vision instruments and surveillance gadgets) would not require industrial licensing for defence purpose. The dual-use items are also exempted from licensing, unless specified in the new list.

advantage in conflict (or avoiding conflict)," he adds. The policies have generally changed to giving priority to the Indian vendors for procurement of defence equipment. However, the delay in awarding contracts and tax issues can still be an inhibition.

Meagre contribution from MSMEs

The amended Defence Procurement Procedure policy has enhanced the potential for micro, small and medium enterprises (MSMEs) to be part of the industrialisation drive, and to broaden the research and development base of the country. In spite of this, the contribution of the MSMEs remains meagre. MS-

MEs still do not have the technology, investment and infrastructure to make complex equipment like guns, tanks or

aircraft. They stick to fabrication, painting, limited machining or making small parts. So the direct participation of MSMEs in the defence sector is far-fetched, unless MSMEs work as a group, like one firm doing the machining, another fabrication and yet another assembling, and together creating a complete product. Also, defence contracts take a long time to execute—even two years or more. It becomes difficult for an MSME to wait that long.

"We see an increased role for MSMEs in the defence sector with outsourcing of production by defence public sector undertakings (DPSUs). They work with the big players and, sometimes, they even directly participate in Ministry of Defence tenders, competing with these global players," says Nasser Jariwala of Rohde & Schwarz.

Business opportunities

The increased budget allocations for the armed forces, army's plans to replace old equipment and introduce cutting-edge technology, and the ambitious projects taken up by the research and development teams in the aerospace and defence sector have created immense opportunities in defence sector. The government is planning to create additional opportunities worth US\$ 150 billion in defence electronics over the next 10 years, and out of this, over US\$ 100 billion would be open to Indian firms. DRDO is developing products for orders worth 160 billion rupees, many of which are nearing the completion stage. Hence, DRDO is looking for

Union Budget 2014-2015: What's in for Defence Sector

The Union Budget for 2014-2015 announced on 11th July and passed in Lok Sabha on 18th July looks favourable for the aerospace and defence sector in the country. Following are the highlights of the liberalised budget:

- Defence allocation pegged to 2,290 billion rupees, which is about 12% more than that of the previous fiscal year.
- FDI cap was raised from 26% to 49% for domestic defence industry. This is expected to attract foreign investment.
- As a part of military modernisation, an additional 50 billion rupees was allocated for tendering and eventual purchase of military equipment for all three services. This includes 10 billion rupees for accelerating the development of railways in border areas.
- Technology Development Fund of 1 billion rupees was set up to aid MSMEs in the development of defence system.
- The GOI has also set aside 10 billion rupees under the 'One Rank One Pension' policy, to address pension disparities of ex-servicemen.